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**From:** The Motley Fool <fool@motleyfool.com>
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**Subject:** Breakfast With The Fool: Brocade Communications Faces a Tough Market

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Thursday, November 30, 2000

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"No man is great by imitation." -- Samuel Johnson

BROCADE COMMUNICATIONS FACES A TOUGH MARKET
The company's solid earnings report yesterday may not be rewarded by increasingly skittish investors.

By Chris Rugaber

Storage network infrastructure company Brocade Communications (Nasdaq: BRCD) reported a fourfold increase in revenues after yesterday's market close, and beat analysts' earnings estimates, but the company's shares declined in after-hours trading anyway.

Sales for the company's fiscal fourth quarter, which ended October 28, rocketed upward to $132.1 million, from $30.1 million in the year-earlier period. Net income increased to $27.2 million, from only $3.9 million a year ago. Earnings per share jumped to $0.22, from last year's $0.03 per share, ahead of consensus estimates of $0.20 per share. The company also

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announced a 2-for-1 stock split that will take effect on December 22, its third split since it became a public company in May 1999.

Brocade makes switches and other equipment for data storage networks, and has rapidly increased its market share, from about 30% a year ago to almost 60% today. The company's stock has grown almost as quickly, up about 75% for the year as of yesterday's close. The shares have declined in recent weeks, along with several other data storage companies, due to concerns over valuation, slowing economic growth, and increasing competition in the data storage market.

Nevertheless, Brocade is quite bullish about its future. The company projects revenue will grow 150% to $830 million in fiscal 2001, and that gross margins will remain at 60%. The company's CEO, Greg Reyes, noted that "We just happen to be serving a market segment that is one of the fastest-growing market segments on the face of the planet and what I think will emerge as the next major networking category."

Despite the positive results, the company's shares, which fell 4.5% yesterday in advance of the earnings report, traded down further in after-hours activity, as investors become increasingly nervous about richly valued technology stocks. As one analyst told Reuters, "I would think [the stock price] would go up, but oh well.... The market environment we are in is not normal.''

For more information on the data storage industry, check out the Fool's computer hardware sector page. In addition, data storage software companies are analyzed in this year's Industry Focus.
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http://www.lnksrv.com/m.asp?i=220744

AFTER-HOURS COVERAGE
GATEWAY WARNS OF DOWNBEAT Q4, 2001
By David Marino-Nachison
PC direct seller Gateway (NYSE: GTW) has historically looked forward to a strong start to the holiday selling season, but that didn't happen this year. Now the company not only forecasts a disappointing fourth quarter but upcoming year as well. FULL STORY>>>
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NEWS TO GO

Telecom giants AT&T (NYSE: T) and NTT DoCoMo officially announced their widely rumored partnership today, with the Japanese mobile communications services provider agreeing to purchase 16% of AT&T Wireless (NYSE: AWE) for $9.8 billion. AT&T Wireless, currently a tracking stock, will receive $6.2 billion and AT&T will receive $3.6 billion in cash. The purchase values AT&T Wireless at $23.50 per share, a 31% premium over yesterday's closing price. DoCoMo, which means "everywhere" in Japanese, has been taking minority stakes in wireless service providers around the world as part of its strategy to extend its services internationally. The two companies also announced that AT&T Wireless would form a wholly owned subsidiary to develop mobile data and multimedia services similar to DoCoMo's wildly successful i-mode service. AT&T Wireless, the third-largest wireless service provider in the U.S., also said it would introduce third-generation (3G) data services in 2002, using the same W-CDMA standard that DoCoMo is planning to use.
http://www.fool.com/m.asp?i=220746

Leading local phone company Verizon (NYSE: VZ) yesterday announced that it has canceled plans to buy a majority stake in floundering DSL provider NorthPoint Communications (Nasdaq: NPNT), after NorthPoint restated third-quarter financial results on November 20, lowering sales by about 20%. Like its fellow DSL provider Covad Communications (Nasdaq: COVD), which also reduced previously announced sales earlier this month, NorthPoint blamed the restatement on non-payment from financially strapped customers. Nevertheless, Verizon believes it can terminate the deal as a result of the changes in NorthPoint's business and financial condition. NorthPoint's CEO said that she may seek "legal remedies."

Struggling retailer Gap (NYSE: GPS) fell in after-hours trading upon reporting a 1% same-store sales drop for the month of November, thanks largely to declines in its Banana Republic and Old Navy stores. The company also said that it is "cautious" in its outlook about next quarter's sales and earnings. Gap's earnings have fallen for the past two quarters.

Programmable computer chip maker Altera (Nasdaq: ALTR) yesterday warned for the second time this month that revenues would slow in upcoming quarters, causing the company's shares to fall

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sharply in after-hours trading. The company said in a conference

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